SUPERIOR COURT, STATE OF CALIFORNIA
COUNTY OF SANTA CLARA

Department 12
Honorable Nahal Iravani-Sani, Presiding
Courtroom Clerk, Ryan Nguyen
191 North First Street, San Jose, CA 95113
Telephone: (408) 882-2230

DATE: 06/12/2026 TIME: 9:00 A.M. and 9:01 A.M.

LINE #	CASE #	CASE TITLE	RULING
LINE 1	22CV406660	American Express National Bank v. Merquais Nabizada	Motion: Vacate Please Ctrl Click (or scroll down) on Line 1
LINE 2	25CV465349	Yiting Zhao et al vs Dr. Yueyue Guo, LAc et al	Hearing: Petition Compel Arbitration Please Ctrl Click (or scroll down) on Line 2
LINE 3	25CV472932	Keep America Safe and Beautiful vs Trademark Global LLC	Hearing: Motion to Approve Proposition 65 Settlement and Consent Judgement Please Ctrl Click (or scroll down) on Line 3
LINE 4	25CV474734	Wells Fargo Bank, N.A. vs Jean Ansaldo	Hearing: Motion Summary Judgment Notice is proper. No opposition has been filed. "[T]he failure to file an opposition creates an inference that the motion or demurrer is meritorious." (Sexton v. Superior Court (1997) 58 Cal.App.4th 1403, 1410.) Good Cause Appearing, Plaintiff's motion is granted. Plaintiff to prepare the final order, accompanied by the necessary Forms EFS-020, within 10 days of the date of the hearing.
LINE 5 LINE 6	25CV477277	Qingyu Liang vs Yu Zhu	Motion: Strike & Demurrer Please Ctrl Click (or scroll down) on Line 5 for Lines 5 & 6

- oo0oo -

Calendar Line 1
Case Name: *American Express National Bank vs. Merquais Nabizada*
Case No.: 22CV406660

PLAINTIFF'S MOTION TO VACATE CONDITIONAL DISMISSAL AND FOR ENTRY OF JUDGMENT PURSUANT TO CODE OF CIVIL PROCEDURE SECTION 664.6

The parties entered into a written settlement agreement on March 8, 2024 resolving this action. The agreement was signed by Defendant and by Plaintiff's counsel on Plaintiff's behalf and satisfies the requirements of Code of Civil Procedure section 664.6. The agreement sets forth the material settlement terms, including the amount owed, payment schedule, and default provisions.

On March 12, 2024, the Court dismissed the action without prejudice and expressly retained jurisdiction under Code of Civil Procedure section 664.6 to enforce the settlement and enter judgment upon default.

Plaintiff has established that Defendant defaulted under the settlement agreement. Defendant has not made payment since March 2024, the first month payments were due pursuant to the parties' stipulation. Plaintiff provided written notice of default as required by the agreement on June 26, 2024, and afforded Defendant the contractual opportunity to cure. Defendant failed to cure the default. No opposition has been filed by Defendant to the pending motion.

Pursuant to the terms of the settlement agreement and the Court's retained jurisdiction, Plaintiff is entitled to entry of judgment. The requested amount of $12,952.92, consisting of the unpaid settlement balance and recoverable costs, is supported by the declaration and exhibits submitted in support of the motion.

Accordingly:

1. The motion is GRANTED.
2. The conditional dismissal is VACATED to the extent necessary to enforce the settlement agreement;
3. Judgment shall be entered in favor of Plaintiff and against Defendant in the amount of $12,952.92.

Plaintiff to submit the proposed order and judgment accompanied by the necessary Form EFS 020 within 7 days of the hearing.

- oo0oo –

Calendar Line 2
Case Name: *Zhao et al. v. Guo et al.*
Case No.: 25CV465349

DEFENDANTS' MOTION TO STAY AND PETITION TO COMPEL ARBITRATION

This matter arises from a medical malpractice action brought by Plaintiffs and Yiting Zhao ("Ms. Zhao") and Tian Tian ("Mr. Tian") (collectively "Plaintiffs") against Defendants Chuntian Acupuncture Clinic, Inc. ("CAC") and Yueyue Guo, L.A.c. ("Dr. Guo") (collectively "Defendants"). Plaintiffs allege that Defendants negligently rendered acupuncture and related therapeutic treatment to Ms. Zhao in May 2024 in connection with the treatment of her preexisting knee injuries. (Complaint at p. 4.) Plaintiffs allege Defenants utilized a smoke-free moxibustion appliance that allegedly caused Ms. Zhao third-degree burns on her knees. (*Ibid.*) Plaintiffs allege "[a]s a result of Defendants' negligent use of this machine—without appropriate assessment, informed consent, or precaution—Plaintiff Zhao sustained significant injuries requiring multiple debridement procedures both domestically and abroad." (*Ibid.*) Ms. Zhao maintains she has sustained "ongoing physical pain, emotional distress, and limitations in her mobility and daily functioning." (*Ibid.*) Mr. Tian alleges he has suffered from a "loss of consortium as a result of his wife's injuries." (*Ibid.*)

Defendants now petition the Court to compel arbitration of Plaintiffs' claims pursuant to an Arbitration Agreement ("the Agreement") executed by Ms. Zhao as a condition of treatment. Having reviewed the Agreement, the Court concludes the petition to compel arbitration should be continued.

PROCEDURAL MATTERS

Under the California Arbitration Act (Code Civ. Proc. §§ 1280-1294.2), "[a] copy of the petition and a written notice of the time and place of the hearing thereof and any other papers upon which the petition is based shall be served in the manner provided [herein]." (*Id.* At § 1290.4, subd. (a).) "A response shall be served and filed within 10 days after service of the petition . . . The time provided in this section for serving and filing a response may be extended by an agreement in writing between the parties to the court proceeding or, for good cause, by order of the court." (*Id.* At § 1290.6.) If a response is not "duly served and filed," the allegations of the petition are deemed to be admitted." (*Id.* At § 1290.)

Defendants served their petition to compel arbitration on November 14, 2025. On May 26, 2025, Plaintiffs filed "Proposals as to Content of Statement of Decision" nine days after Defendants filed their memorandum of points and authorities in support of the petition to compel arbitration. Therein, Plaintiffs do not oppose the petition to compel arbitration, but instead request the Court make no findings as to the merits of Plaintiffs' claims or Defendants' defenses. (Plaintiffs' Proposals Re Statement of Decision at p. 2:3-6.)

On June 1, 2026, Plaintiffs filed an opposition to Defendants' petition to compel arbitration. Defendants maintain the opposition is untimely because it does not adhere to the statutory timeline proscribed by Code of Civil Procedure section 1290.6. Plaintiffs have instead filed their opposition pursuant to Code of Civil Procedure section 1005, subdivision (b) or nine court days before the hearing. Defendants argue the legislature has specifically created a different procedure for petitions brought under the California Arbitration Act. (Reply at p. 3:12-13.)

Consistent with the above, "[c]ourts have long acknowledged that the trial court may consider untimely filed and served response papers, when no prejudice to the petition is shown, without an order extending the 10-day time period of section 1290.6." (*Ruiz v. Moss Bros. Auto Group, Inc.* (2014) 232 Cal.App.4th 836, 847 (*Ruiz*).) Good cause has been found where the petition has been treated as a motion rather than a petition. (*Ibid.*) "[I]t is not clear that the arbitration petition statute—rather than the general motion statute—governs the timing requirements when a complaint has been filed in court." (*Correia v. NB Baker Electric, Inc.* (2019) 32 Cal.App.5th 602, 613 (*Correia*).) "The term 'petition,' however, has been construed in practice, to include the term 'motion' when, as here, an action is already pending." (*Mercury Ins. Group v. Superior Court* (1998) 19 Cal.4th 332, 349.) A lack of prejudice has been shown where the moving party files and serves reply papers in accordance with section 1005, subdivision (b). This is consistent with treating the petition as a motion because the California Arbitration Act does not contemplate the filing and service of reply papers. (*Ruiz, supra,* 232 Cal.App.4th at pp. 847-848; *Correia, supra,* 32 Cal.App.5th at pp. 613.)

A complaint was filed in this action prior to the petition to compel arbitration. Thus, the petition can be construed as a motion since the action is already pending. Defendants filed reply papers five court days before the hearing in accordance with section 1005, subdivision (b). Defendants are, therefore, not prejudiced by the opposition as they have had ample opportunity to respond to the arguments therein. Accordingly, the petition may be treated as a motion such that Plaintiffs' opposition to it is timely. Since good cause exists to consider the opposition, the court declines to deem the allegations of the petition admitted.

LEGAL STANDARD

Defendants maintain the Federal Arbitration Act ("FAA") governs the Arbitration Agreement because their operations affect interstate commerce. (Memorandum of Points & Authorities ["MPA"] at p. 4:19-8:8.) The basic coverage provision of the FAA "makes the law applicable to contracts evidencing a transaction 'involving commerce' (9 U.S.C. § 2), which language reflects that Congress intended the law's coverage to extend to the full reach of its commerce clause power." (*Nieto v. Fresno Beverage Co.* (2019) 33 Cal.App.5th 274, 279 [internal citations omitted].) "Congress Commerce Clause power 'may be exercised in individual cases without showing any specific effect upon interstate commerce' if in the aggregate the economic activity in question would represent 'a general practice . . . subject to federal control.'" (*Citizens Bank v. Alafabco, Inc.* (2003) 539 U.S. 52, 56-57 [quoting *Mandeville Island Farms, Inc. v. American Crystal Sugar Co.* (1948) 334 U.S. 219, 236].)

In *Scott v. Yoho* (2016) 248 Cal.App.4th 392, 401-402, the court there found that the defendants' medical practice bore on interstate commerce because the medical supplies used originated from outside California, defendants advertised on the Internet and communicated with out-of-state patients, and the medical practice had contacts with out-of-state companies. The court concluded, "[n]o doubt, the liposuction procedure was conducted in California by a state licensed doctor on an in-state patient. But there is sufficient nexus with interstate commerce to require enforcement of the three arbitration agreements under the Federal Arbitration Act." (*Ibid.*)

Likewise, here, CAC purchases supplies and equipment from vendors located both inside and outside California. (Declaration of Wing Yang-Vivian IP at ¶ 19.) It receives shipments through interstate commercial carriers and processes payments through interstate banking and credit card networks. (*Ibid.*) CAC "procures professional liability insurance through out-of-state entities and conducts business communications and transactions through internet-based and interstate telecommunications systems." (*Ibid.*) The Court finds that this activity creates a sufficient nexus with interstate commerce to require enforcement of the Agreement under the FAA.

> Under the FAA, the court's role is limited to determining "(1) whether a valid agreement to arbitrate exists, and if it does (2) whether the agreement encompasses the dispute at issue." (*Chiron Corp. v. Ortho Diagnostic Systems, Inc.* (9th Cir. 2000) 207 F.3d 1126, 1130.) To determine "whether a valid contract to arbitrate exists," courts apply "ordinary state law principles that govern contract formation." (*Davis v. Nordstrom, Inc.* (9th Cir. 2014) 755 F.3d 1089, 1093 [citations omitted]; see also *Ingle v. Circuit City Stores, Inc.* (9th Cir. 2003) 328 F.3d 1165, 1170.)

Alternatively, the CAA governs the Arbitration Provision. Code of Civil Procedure section 1281.2 provides:

> On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party to the agreement refuses to arbitrate such controversy, the court shall order the petitioner and respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that: [¶] The right to compel arbitration has been waived by the petitioner; or [¶] (b) Grounds exist for rescission of the agreement.

In determining the threshold question of whether an arbitration agreement exists between the parties, the court employs a three-step burden shifting analysis. (*Iyere v. Wise Auto Group* (2023) 87 Cal.App.5th 747, 755 (*Iyere*); see also *Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1060.) The party seeking to compel arbitration bears the initial burden of showing an agreement to arbitrate. If that burden is met, the burden shifts to the opposing party to show a factual dispute regarding the agreement's existence. If the opposing party does so, then the burden shifts back to the proponent of arbitration to show the existence of a valid agreement by a preponderance of the evidence. (*Iyere, supra*, 87 Cal.App.5th at p. 755.)

ANALYSIS

<u>There is a Valid Agreement to Arbitrate</u>

A valid agreement to arbitrate exists between the parties. "The moving party bears the burden of producing prima facie evidence of a written agreement to arbitrate the controversy. The moving party can meet its initial burden by attaching to the [motion or] petition a copy of the arbitration agreement purporting to bear the [opposing party's] signature." (*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158 [internal citations and quotations omitted].) Defendants have attached a copy of the Arbitration Agreement to their petition. (Petition to Compel Arbitration, Ex. A.) The Agreement was signed by Ms. Zhao on November 16, 2022. (*Ibid.*) "A party's acceptance of an agreement to arbitrate may be express, as whether a party signs the agreement." (*Mendoza v. Trans Valley Transport* (2022) 75 Cal.App.5th 748, 777 [internal citations and quotations omitted].) Ms. Zhao never revoked the Agreement in accordance with its provisions. (See Petition to Compel Arbitration, Ex. A. at Article 5.) Defendants have, therefore, met their initial burden of proving the existence of a valid agreement to arbitrate.

The Scope of Plaintiffs' Claims are Covered by the Agreement

The scope of the agreement is covered by Plaintiffs' claims. Here the Arbitration Agreement provides that it applies to:

> . . . any dispute as to medical malpractice, that is as to whether any medical services rendered under this contract were unnecessary or unauthorized or were improperly, negligently, or incompetently rendered, will be determined by submission to arbitration as provided by California and federal law, and not by a lawsuit or resort to court process except as California and federal law provide for judicial review of arbitration proceedings.

(Petition to Compel Arbitration, Ex. A at Article 1.)

In this action, Plaintiffs bring the sole cause of action for professional negligence and assert that Dr. Guo's use of a smoke-free moxibustion appliance caused Ms. Zhao third-degree burns on both her of her knees. (Complaint at p. 4.) Plaintiffs allege "as a result of Defendants' negligent use of this machine—without appropriate assessment, informed consent, or precaution—Plaintiff Zhao sustained significant injuries requiring multiple debridement procedures both domestically and abroad." (*Ibid.*) Thus, Plaintiffs claim for medical malpractice rests on the allegation that medical services were negligently rendered and is encompassed by the Arbitration Agreement.

To the extent Mr. Tian alleges a claim for loss of consortium, that is also encompassed by the Arbitration Agreement. The Agreement specifically provides, "[i]t is the intention of the parties that this agreement bind all parties as to all claims, including claims arising out of or relating to treatment or services provided by the healthcare provider including any heirs or past, present, or future spouse(s) of the patient in relation to all claims including loss of consortium." (Petition to Compel Arbitration, Ex. A at Article 2.) The Agreement further states, "[a]ll claims for monetary damage . . . must be arbitrated including, without limitation, claims for loss of consortium . . . ." (*Ibid.*) Therefore, all of Plaintiffs' claims are covered by the scope of the Agreement.

The Delegation Clause is Clear and Unmistakable

Defendants maintain any defenses to arbitration must resolved by the arbitrator. (MPA at p. 8:22-10:8.) The question of whether the parties agreed to arbitrate a particular dispute is generally to be decided by the court. (*AT&T Technologies, Inc. v. Communications Workers of America* (1986) 475 U.S. 643, 649.) The parties may, however, agree to submit the arbitrability question itself to arbitration. (*First Options of Chicago, Inc. v. Kaplan* (1995) 514 U.S. 938, 943.) Courts should find that the parties agreed to arbitrate arbitrability only where there is clear and unmistakable evidence that they did so, resolving any ambiguity in favor of a finding that the issue is for the court to determine. (*Id.* At pp. 944-45.)

In this regard, the Agreement states, "[i]t is also understood that any dispute that does not relate to medical malpractice, including as to whether or not a dispute is subject to arbitration, as to whether this agreement is unconscionable, and any procedural disputes, will also be determined by submission to binding arbitration." (Petition to Compel Arbitration, Ex. A at Article 2.) The language of the delegation clause here is clear and unmistakable that the parties agreed to delegate both threshold issues of arbitrability as well as issues of enforceability to the arbitrator. The Court makes no determination on the merits of Plaintiffs' claims or Defendants' defenses whether related to liability or damages. Plaintiffs may pursue all claims, damages, arguments, and responses to Defendants' defenses in arbitration, as these matters are more properly heard by the arbitrator.

<u>Plaintiffs' Unconscionability Arguments Implicate the Delegation Clause</u>

Plaintiffs argue the fee sharing provision is unconscionable to the extent it requires them to pay costs unique to arbitration. While issues pertaining to unconscionability are otherwise delegated to the arbitrator, in this instance, "any claim of unconscionability must be specific to the delegation clause." (*Aanderud v. Superior Court* (2017) 13 Cal.App.5th 880, 895.) The Court finds that these arguments implicate the delegation clause because prohibitive costs can create a barrier to accessing arbitration as a forum in the first place.

The Agreement provides, "[e]ach party to the arbitration shall pay such party's equal share of the expenses and fees of the neutral arbitrator, together with other expenses of the arbitration incurred or approved by the neutral arbitrator, not including counsel fees, witness fees, or other expenses for such party's own benefit." Plaintiffs acknowledge that the parties are responsible for their own attorney fees and litigation expenses. The fee-shifting provision here mirrors Code of Civil Procedure section 1284.2, which provides:

> Unless the arbitration agreement otherwise provides or the parties to the arbitration otherwise agree, each party to the arbitration shall pay his pro rata share of the expenses and fees of the neutral arbitrator, together with other expenses of the arbitration incurred or approved by the neutral arbitrator, not including counsel fees or witness fees or other expenses incurred by a party for his own benefit.

"In determining the affordability of arbitration costs, a court should conduct a case-by-case analysis, with the party resisting arbitration bearing the burden of showing the likelihood of prohibitive costs." (*Penilla v. Westmont Corp.* (2016) 3 Cal.App.5th 205, 218.) Plaintiffs have not produced any evidence of financial hardship. In *Gutierrez v. Autowest, Inc.* (2003) 114 Cal.App.4th 77, 90-91, the court found the fee-shifting provisions unconscionable only after the plaintiffs "presented substantial evidence in the trial court that the administrative fees exceeded their ability to pay. Gutierrez submitted a declaration setting forth plaintiffs' income, expenses, and savings, and provided the court with a copy of the AAA rules in effect at the time AutoNation moved to compel arbitration." Here, Plaintiffs have not provided any declarations setting forth their income, expenses, and savings otherwise indicating their inability to pay for arbitration. Plaintiffs request a brief continuance to do so but have not explained why any such evidence could not be submitted with their opposition papers. Nevertheless, the court will grant Plaintiffs a brief continuance to submit evidence of financial hardship as it cannot determine unconscionability without more information. (*Roldan v. Callahan & Blaine* (2013) 219 Cal.App.4th 87, 96 [remanding the case to the trial court with directions to make express findings "concerning the plaintiffs' claimed inability to share the cost of arbitration"].)

Accordingly, the petition to compel arbitration is CONTINUED.

CONCLUSION

The petition to compel arbitration is CONTINUED to September 4, 2026 at 9:00 a.m. in Department 12. Plaintiffs must provide supplemental evidence of financial hardship by submitting income and expense declaration. Defendants' reply, if any, should be filed 5 court days before the hearing.

- oo0oo –

Calendar Line 3
Case Name: *Keep America Safe and Beautiful v. Trademark Global, LLC*
Case No.: 25CV472932

PLAINTIFF'S MOTION TO APPROVE PROPOSITION 65 SETTLEMENT AGREEMENT AND CONSENT JUDGMENT

Plaintiff moves for approval of a settlement and consent judgment resolving this Proposition 65 enforcement action pursuant to Health and Safety Code section 25249.7(f)(4).

Health and Safety Code section 25249.7(f)(4) requires court approval of settlements in private Proposition 65 actions and authorizes approval only upon findings that: (1) any warning required by the settlement complies with Proposition 65; (2) the attorney's fee award is reasonable under California law; and (3) the civil penalty is reasonable under the criteria set forth in Health and Safety Code section 25249.7(b)(2).

The Court has reviewed the supporting declaration submitted in connection with the motion and finds it provides sufficient information regarding the alleged violations, injunctive relief, civil penalties, and attorney's fees to permit evaluation of the proposed settlement.

First, the settlement requires Defendant to provide Proposition 65 warnings for covered brass lamps sold in California unless the products are reformulated to comply with Proposition 65 requirements. The Court finds the warning provisions are reasonably designed to comply with Health and Safety Code section 25249.6 and satisfy the requirements of section 25249.7(f)(4)(A).

Second, the settlement provides for payment of $25,000 in attorney's fees and costs. Counsel represents that the amount sought is less than the lodestar value of fees and costs incurred in investigating, litigating, and resolving the matter. Based on the record presented, the Court finds the requested attorney's fee award reasonable under Code of Civil Procedure section 1021.5 and Health and Safety Code section 25249.7(f)(4)(B).

Third, the settlement provides for a civil penalty of $6,000. The record reflects consideration of the nature of the alleged violation, the number of products sold, Defendant's cooperation in resolving the matter, the corrective measures undertaken following notice of the alleged violation, the absence of evidence of intentional noncompliance, and the deterrent effect of the settlement. The Court finds the civil penalty reasonable under the factors set forth in Health and Safety Code section 25249.7(b)(2).

Accordingly, the Court finds that the settlement satisfies the requirements of Health and Safety Code section 25249.7(f)(4). The motion is GRANTED. The Settlement Agreement and Consent Judgment are approved.

Plaintiff to submit the final order accompanied by necessary Form EFS-020 within 7 days of hearing.

- oo0oo -

Calendar Line 5 & 6
Case Name: *Qingyu Liang v. Joyee Yu Zhu*
Case No.: 25-CV-477277

<u>Factual and Procedural Background</u>

This is an action for fraud, breach of contract, and related claims brought by plaintiff Qingyu Liang ("Plaintiff") against defendant Joyee Yu Zhu ("Defendant").

On December 2, 2025, Plaintiff filed the operative first amended complaint ("FAC") against Defendant alleging causes of action for: (1) Fraud (Intentional Misrepresentation); (2) Negligent Misrepresentation; (3) Breach of Contract; (4) Breach of Implied Warranty of Merchantability and Fitness; and (5) Negligence.

On January 26, 2026, Defendant filed the motions presently before the court, a demurrer and motion to strike to the FAC. Defendant filed a request for judicial notice in conjunction with the demurrer. Plaintiff filed written oppositions. Defendant filed reply papers.

A further case management conference is scheduled for June 24, 2026.

<u>Demurrer to the FAC</u>

Defendant argues each cause of action in the FAC is subject to demurrer for failure to state a valid claim and uncertainty. (Code Civ. Proc., § 430.10, subds. (e), (f).)

Request for Judicial Notice

"Judicial notice is the recognition and acceptance by the court, for use by the trier of fact or by the court, of the existence of a matter of law or fact that is relevant to an issue in the action without requiring formal proof of the matter." (*Poseidon Development, Inc. v. Woodland Lane Estates, LLC* (2007) 152 Cal.App.4th 1106, 1117.)

In support of the motion, Defendant requests judicial notice of a website from the U.S Food and Drug Administration ("FDA") regarding FDA-certified devices. The court however declines to take judicial notice of the website as it is not relevant to resolving issues raised by the demurrer for reasons explained below. (See *Jordache Enterprises, Inc. v. Brobeck, Phleger & Harrison* (1998) 18 Cal.4th 739, 748, fn. 6 [a court need not take judicial notice of a matter unless it "is necessary, helpful, or relevant"].)

Accordingly, the request for judicial notice is DENIED.

Failure to State a Cause of Action

" 'The absence of any allegation essential to a cause of action renders it vulnerable to a general demurrer. A ruling on a general demurrer is thus a method of deciding the merits of the cause of action on assumed facts without a trial.' [Citation.] 'Conversely, a general demurrer will be overruled if the complaint contains allegations of every fact essential to the statement of a cause of action, regardless of mistaken theory or imperfections of form that make it subject to special demurrer.' [Citation.]" (*Morris v. JPMorgan Chase Bank, N.A.* (2022) 78 Cal.App.5th 279, 291-292 (*Morris*).)

"A complaint, with certain exceptions, need only contain a 'statement of the facts constituting the cause of action, in ordinary and concise language' [citation] and will be upheld ' "so long as [it] gives notice of the issues sufficient to enable preparation of a defense." ' [Citation.] '[T]o withstand a demurrer, a complaint must allege ultimate facts, not evidentiary facts or conclusions of law.' [Citation.]" (*Morris, supra,* 78 Cal.App.5th at p. 292.)

First Cause of Action: Fraud (Intentional Misrepresentation)

"The essential elements of a count for intentional misrepresentation are (1) a misrepresentation, (2) knowledge of falsity, (3) intent to induce reliance, (4) actual and justifiable reliance, and (5) resulting damage." (*Chapman v. Skype Inc.* (2013) 220 Cal.App.4th 217, 230-231.)

Defendant contends the fraud cause of action is barred by the economic loss rule.

"[U]nder the economic loss rule, tort recovery for breach of a contract duty is generally barred … unless two conditions are satisfied. A plaintiff must first demonstrate the defendant's injury-causing conduct violated a duty that is independent of the duties and rights assumed by the parties when they entered the contract. Second, the defendant's conduct must have caused injury to persons or property that was not reasonably contemplated by the parties when the contract was formed." (*Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 20-21.)

But, the economic loss rule is not applicable where, as here, the fraudulent misrepresentations preceded formation of the subject contract and induced Plaintiff to enter into the agreement. (FAC at ¶¶ 18, 21; see *Lazar v. Super. Ct.* (1996) 12 Cal.4th 631, 645 ["[F]raudulent inducement of contract—as the very phrase suggests—is not a context where the 'traditional separation of tort and contract law' [citation] obtains. To the contrary, this area of the law traditionally has involved both contract and tort principles and procedures."]; *Erlich v. Menezes* (1999) 21 Cal.4th 543, 551-552 ["Tort damages have been permitted in contract cases ... where the contract was fraudulently induced."]; *United Guar. Mortg. Indem. Co. v. Countrywide Fin. Corp.* (C.D. Cal. 2009) 660 F.Supp.2d 1163, 1188 ["The economic loss rule poses no barrier to a properly pled fraudulent inducement claim[.]"]; see also *Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828, 843 ["Fraudulent inducement claims fall within an exception to the economic loss rule recognized by our Supreme Court."].)

Defendant also asserts the fraud claim has not been pled with specificity and fails to allege facts establishing the element of justifiable reliance.

"[T]he allegations in a fraud action need not be liberally construed. Instead, fraud must be specifically pleaded. This means: (1) general pleading of the legal conclusion of fraud is insufficient; and (2) every element of the cause of action for fraud must be alleged in full, factually and specifically, and the policy of liberal construction of pleading will not usually be invoked to sustain a pleading that is defective in any material respect." (*Wilhelm v. Pray, Price, Williams & Russell* (1986) 186 Cal.App.3d 1324, 1331.)

Courts enforce the specificity requirement in consideration of its two purposes. (*West v. JPMorgan Chase Bank, N.A.* (2013) 214 Cal.App.4th 780, 793 (*West*).) The first purpose is to give notice to the defendant with sufficiently definite charges that the defendant can meet them. (*Ibid.*) The second is to permit a court to weed out meritless fraud claims on the basis of the pleadings; thus, the pleading should be sufficient to enable the court to determine whether, on the facts pleaded, there is any foundation, prima facie at least, for the charge of fraud. (*Ibid.*)

Here, the fraud claim does not allege facts to support the element of justifiable reliance and thus fails to state a valid cause of action. (See *Hill v. Roll Internat. Corp.* (2011) 195 Cal.App.4th 1295, 1307 ["[C]ommon law fraud requires particularity of pleading for all the traditional elements, including not just misrepresentation, but the plaintiff's justifiable reliance."]; see also *West, supra,* 214 Cal.App.4th at p. 794 [justifiable reliance refers to circumstances that make it reasonable for the plaintiff to accept the defendant's statements without an independent inquiry or investigation].) As this is the first challenge to the pleading, Plaintiff will be given an opportunity for leave to amend. (See *City of Stockton v. Super. Ct.* (2007) 42 Cal.4th 730, 747 [if the plaintiff has not had an opportunity to amend the pleading in response to a motion challenging the sufficiency of the allegations, leave to amend is liberally allowed as a matter of fairness, unless the pleading shows on its face that it is incapable of amendment].) Having sustained the demurrer on this ground, the court declines to consider the alternative arguments for lack of a causal connection and damages.

Consequently, the demurrer to the first cause of action is SUSTAINED WITH 15 DAYS LEAVE TO AMEND for failure to state a valid claim.

<u>Second Cause of Action: Negligent Misrepresentation</u>

"The elements of a negligent misrepresentation are '(1) the misrepresentation of a past or existing material fact, (2) without reasonable ground for believing it to be true, (3) with intent to induce another's reliance on the fact misrepresented, (4) justifiable reliance on the misrepresentation, and (5) resulting damage.' [Citation.]" (*Tindell v. Murphy* (2018) 22 Cal.App.5th 1239, 1252.)
The demurrer to the second cause of action is SUSTAINED WITH 15 DAYS LEAVE TO AMEND for failure to state a valid claim for the same reasons stated above in connection with the court's ruling on demurrer to the first cause of action. (See *Borman v. Brown* (2021) 59 Cal.App.5th 1048, 1060 [justifiable reliance is an element of a claim for negligent misrepresentation].)

<u>Third Cause of Action: Breach of Contract</u>

"To establish a cause of action for breach of contract, the plaintiff must plead and prove (1) the existence of the contract, (2) the plaintiff's performance or excuse for nonperformance, (3) the defendant's breach, and (4) resulting damages to the plaintiff." (*Maxwell v. Dolezal* (2014) 231 Cal.App.4th 93, 97-98.)

Here, the third cause of action alleges Plaintiff and Defendant entered into a valid and enforceable agreement, whether directly or through Defendant's controlled entity or alter-ego, whereby Defendant agreed to sell, procure, install and support a safe and functional Smart

Moxibustion Robot for Plaintiff's clinical use. (FAC at ¶ 35, Ex. A.) But, despite allegations of the FAC, the document identified as Exhibit A, referring to a "Software/Service/License Order Form" and "Tax Invoice," does not constitute an agreement between Plaintiff and Defendant as individuals. (See *Paul v. Patton* (2015) 235 Cal.App.4th 1088, 1091 ["Facts appearing in exhibits attached to the first amended complaint also are accepted as true and are given precedence, to the extent they contradict the allegations."].) Instead, Exhibit A shows an order form between a buyer, Oriental Cosmos Health Center, and a supplier, Nefario Technologies Private Limited. While the order form displays Defendant's name under the supplier, there are no factual allegations indicating that Defendant controlled the entity. Nor are there sufficient allegations to support an alter-ego or agency theory of liability. (See *Leek v. Cooper* (2011) 194 Cal.App.4th 399, 415 ["To recover on an alter ego theory, a plaintiff need not use the words 'alter ego,' but must allege sufficient facts to show a unity of interest and ownership, and an unjust result if the corporation is treated as the sole actor."]; *Rutherford Holdings, LLC v. Plaza Del Rey* (2014) 223 Cal.App.4th 221, 235 [plaintiff sufficiently alleged unity of interest by alleging corporate entity was inadequately capitalized, failed to "abide by the formalities of corporate existence," and was dominated, controlled, and used by defendant as a "mere shell and conduit"]; see also *Skopp v. Weaver* (1976) 16 Cal.3d 432 [California Supreme Court addressed allegations necessary to plead agency].) Thus, as there is no valid and enforceable agreement between the parties, there is no claim stated for breach of contract.

Therefore, the demurrer to the third cause of action is SUSTAINED WITH 15 DAYS LEAVE TO AMEND for failure to state a valid claim.

<u>Fourth Cause of Action: Breach of Implied Warranty of Merchantability and Fitness</u>

"Unlike express warranties, which are basically contractual in nature, the implied warranty of merchantability arises by operation of law. [Citation.] It does not 'impose a general requirement that goods precisely fulfill the expectation of the buyer. Instead, it provides for a minimum level of quality.' [Citations.]" (*American Suzuki Motor Corp. v. Super. Ct.* (1995) 37 Cal.App.4th 1291, 1295-1296.) "Thus, a breach of the implied warranty of merchantability means the product did not possess even the most basic degree of fitness for ordinary use." (*Mocek v. Alfa Leisure, Inc.* (2003) 114 Cal.App.4th 402, 406.)

The general rule is that privity of contract between the plaintiff and defendant is required in an action for breach of either express or implied warranty. (*Windham at Carmel Mountain Ranch Assn. v. Super. Ct.* (2003) 109 Cal.App.4th 1162, 1169 (*Windham*).) "A demurrer is properly sustainable in an action predicated upon a breach of an implied warranty when lack of privity between plaintiff and defendant is disclosed on the face of the complaint. [Citation.]" (*Anthony v. Kelsey-Hayes Co.* (1972) 25 Cal.App.3d 442, 448.)

As articulated above, there is no contractual privity between Plaintiff and Defendant for purposes of their alleged agreement and thus no viable cause of action for breach of the implied warranty of merchantability and fitness. And, even though there are exceptions to the general privity rule, no such exceptions are applicable here. (See *Windham, supra,* 109 Cal.App.4th at p. 1169 ["Exceptions to the privity requirement have been established in cases involving foodstuffs, drugs and pesticides."]; see also *Jones v. ConocoPhillips Co.* (2011) 198 Cal.App.4th 1187, 1201 ["The strict requirement of privity has also been excused when an inherently dangerous instrumentality causes harm to a buyer's employee."].) Therefore, the demurrer is sustainable on this ground.

Accordingly, the demurrer to the fourth cause of action is SUSTAINED WITH 15 DAYS LEAVE TO AMEND for failure to state a valid claim.

Fifth Cause of Action: Negligence

"The essential elements of a cause of action for negligence are: (1) the defendant's legal duty of care toward the plaintiff; (2) the defendant's breach of duty – the negligent act or omission; (3) injury to the plaintiff as a result of the breach – proximate or legal cause; and (4) damage to the plaintiff." (*Leyva v. Garcia* (2018) 20 Cal.App.5th 1095, 1103.)

As an initial matter, Defendant, in reply, contends that Plaintiff fails to allege facts supporting the elements of a negligence claim. (See Reply at pp. 9:10-10:6.) The court however declines to address this argument as it is being raised for the first time in the reply papers. (See *American Drug Stores, Inc. v. Stroh* (1992) 10 Cal.App.4th 1446, 1453 ["Points raised for the first time in a reply brief will ordinarily not be considered, because such consideration would deprive the respondent of an opportunity to counter the argument."].) Even so, the court finds Plaintiff alleges sufficient facts to establish a negligence claim.

Defendant asserts the negligence claim is also barred by the economic loss rule. The court finds this assertion to be persuasive as the negligence cause of action seeks purely financial harm unaccompanied by physical or property damage. (FAC at ¶ 53; see *Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal.5th 905, 922 ["In general, there is no recovery in tort for negligently inflicted 'purely economic losses,' meaning financial harm unaccompanied by physical or property damage."].) Thus, the demurrer is sustainable on this ground.

Consequently, the demurrer to the fifth cause of action is SUSTAINED WITH 15 DAYS LEAVE TO AMEND for failure to state a valid claim.

Uncertainty

" ' "[D]emurrers for uncertainty are disfavored, and are granted only if the pleading is incomprehensible that a defendant cannot reasonably respond." ' [Citations.] ' "A demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures." ' [Citations.]" (*A.J. Fistes Corp. v. GDL Best Contractors, Inc.* (2019) 38 Cal.App.5th 677, 695.)

"[U]nder our liberal pleading rules, where the complaint contains substantive factual allegations sufficiently apprising defendant of the issues it is being asked to meet, a demurrer for uncertainty should be overruled or plaintiff given leave to amend. (*Williams v. Beechnut Nutrition Corp.* (1986) 185 Cal.App.3d 135, 139, fn. 2.)

Defendant does not offer substantive argument addressing the demurrer on the ground of uncertainty. And, given the arguments raised on general demurrer, it appears Defendant is on notice of the claims being raised in this action. Moreover, to the extent that any ambiguity exists, Defendant can obtain more information through the process of civil discovery. (See *Davies v. Super. Ct.* (1984) 36 Cal.3d 291, 299 [purpose of civil discovery is to take game element out of trial preparation and assist parties in obtaining facts and evidence necessary for expeditious resolution of their dispute].)

Therefore, the demurrer to the FAC on the ground of uncertainty is OVERRULED.

Motion to Strike Punitive Damages Allegations

Given the court's ruling on demurrer, the motion to strike punitive damages allegations is MOOT.

Disposition

The demurrer to the first, second, third, fourth, and fifth causes of action in the FAC is SUSTAINED WITH 15 DAYS LEAVE TO AMEND for failure to state a valid claim.

The demurrer to the FAC on the ground of uncertainty is OVERRULED.

The motion to strike punitive damages allegations is MOOT.

The court will prepare the Order.

- oo0oo -